# 52

A NUMBER OF THINGS that happened during my watch as president gave me great satisfaction, but I'm probably proudest about the economy. In 1981, no problem the country faced was more serious than the economic crisis—not even the need to modernize our armed forces—because without a recovery, we couldn't afford to do the things necessary to make the country strong again or make a serious effort to lessen the dangers of nuclear war. Nor could America regain confidence in itself and stand tall once again. Nothing was possible unless we made the economy sound again.

The economic expansion that began in October 1982, a year after the first phase of the three-year tax cut went into effect, created more than eighteen million new jobs by the time I left office, the largest increase for a comparable period of time in history. Meanwhile, the percentage of Americans employed at good jobs rose to an all-time high. As I write this, the expansion is in its ninety-second month and still going strong.

The twenty-five-percent tax cut, followed by the Tax Reform Act of 1986, touched off a surge of growth in America that brought down inflation, brought down interest rates, brought down unemployment, and created a cascade of additional tax revenue for government. Realizing that they could keep more of what they earned, people went out and made more money. They used this money to buy more houses, more furniture, more appliances, more cars.

Corporate as well as personal taxes were simplified and reduced to the lowest rate since 1941. Businesses began investing more in plants and equipment, making their